

BUILDING YOUR RETIREMENT STASH

You're like Nancy in that you have a reasonable income but no savings program. You might have more net worth than Nancy does. You might have some equity in your home, for example, or a small IRA. But to start building your retirement stash you need to make changes in your life.

I'm fresh out of clever advice on how to make others pick up dinner checks. How to buy wholesale from a cousin in New Jersey. How to get professional services free of charge. And I'm not going to suggest you live like a pauper, forgo vacations, or wear old clothes. But I am going to give you four rules. In most cases I think you'll find that the rules disrupt your life very little. With the right attitude, you may find that your new retirement-track life beats the one you lead right now.

Here are the rules:

Manage your career

Control your spending

Set up a savings routine

Start a high-risk/low-risk investment program

I've listed the four rules in order of importance. That is, the best way to build your net worth is to manage your career. When you're making \$200,000 a year, it's a whole lot easier to save than when you're making \$30,000. The second-best way to build your net worth is to control your spending. You've read about the \$50-a-Day Rule for retirees. You need to adapt the \$50-a-Day Rule while you're still on the job.

If you follow only the career and spending rules you can probably reach your target net worth. But to reach it more quickly, you should set up a savings routine and start a high-risk/low-risk investment program. This chapter gives details on how to do both.